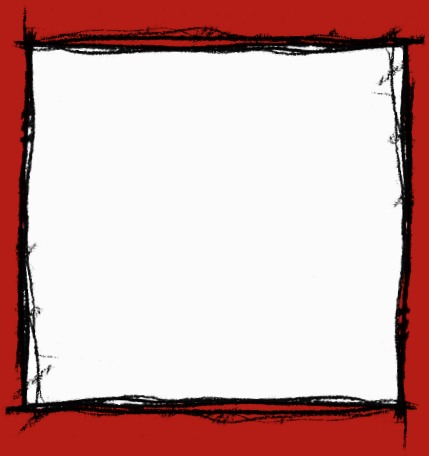
BRITISH COUNCIL

Actions for a Better Business Environment



Actions for a Better Business Environment

BRITISH COUNCIL

UK TRADE & INVESTMENT

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Foreword

What kind of a business environment would a company choose if it was seeking to develop its business, increase its profits and be encouraged by the community in which it operates? The answer to this could run into several pages, but it would be safe to say that some or all of the following would be somewhere near the top of a list of prerequisites: a regulatory framework that decreases transactions and conflicts; support for innovation to bring to life new services and products; a skilled labour force; information and consultancy that is both accurate and reliable; low risks associated with environmental challenges; a community that provides legitimacy to the company's operations; and an environment that is sustainable for future business – it may sound like we are talking about utopia, not just for business, but for all stakeholders.

To this end, the Public Diplomacy Pilot Project, managed by the Foreign and Commonwealth Office, UK Trade & Investment and the British Council, has worked to create a better business environment for both UK and Turkish businesses. Throughout the project, by creating information sharing platforms, organising workshops, arranging study visits to the UK, and implementing practical programmes, the group has engaged with the business world, journalists, academia, business students and trade unions, both in Turkey and the UK.

Our aim in commissioning this collection of essays is to provide examples of practices and expertise that may help you to develop further an understanding of not only why these subjects matter for better economic relations, but also what fruit has been borne as a result of the activities of the respective partnerships.

The individual chapters and case studies you hold in your hand represent a range of views and insights from our partner organisations, and detail the work we have engaged in. All emphasise the relevance, importance and potential of what we have done in a world that continues to go forward in the face of both cultural and economic challenges.

We are very grateful to all the contributors for taking the time to tell us their stories, and indeed for their partnerships. We hope you will enjoy reading this booklet, and believe that perhaps there may be an opportunity for you to benefit from these insights.

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Ceyhun
Göcenoğlu




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Collaborative Action for Development and New Businesses

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Social, environmental and economic problems in the world, such as hunger, climate change and poverty have influenced and shaped the way the British Council works, however the goals have always been to increase the ability of individuals and organisations to contribute to positive social change and the strengthening of civil society. In accepting and facing up to these challenges, the British Council endeavours to create relationships and build partnerships between stakeholders in the UK and those in the many countries in which it operates.

In order to build partnerships with these stakeholders, whether they are from the government, businesses or civil society, there is a need to listen and act in coherence; and it is in its ability to engage people involved in international relations that Public Diplomacy at the British Council offers an essential methodology to bring potential partners together. This ability is inherent in the natural character of Public Diplomacy, as it is so often required to listen to the needs of others, and respond through the sharing of expertise and resources to create common policies and actions.

To achieve such ambitious goals, to drive positive change in society and to act as a bridge between the stakeholders in the UK and in other countries, the British Council has a long history of partnering with the academy, civil society and the public sector. The concept of involving business in its mission was considered unnecessary in the past, but this has all changed in recent times, not only due to the financial resources that business can provide, but more importantly since corporations are now the most influential, vibrant and energetic stakeholders shaping the world of the future.

As global problems are on the increase, it is imperative that efforts to shape the future start immediately. However, at the heart of the solutions to these problems lies an opportunity to create new business opportunities that can bring about the development of our societies, while also bringing benefit to those companies that are willing to take that step. It is obvious that a collaborative approach and a firm set of actions are needed: Corporate Social Responsibility (CSR), development of professional skills, entrepreneurship, and the legal framework, to name but a few.

The first step in implementing these actions is to ensure that companies understand and accept their role, as well as channelling development problems into opportunities where CSR is needed the most. For some stakeholders, the concept of Corporate Social Responsibility is nothing new, having seen the benefit of volunteer programmes for many years; while for other organisations, CSR has been a subject of discussion towards the preparation of a corporate strategy to drive the economic and social sustainability of the corporation. Whichever the route, the result is the same: CSR can support the development of nearly all the stakeholders of a corporation, whether they be employees, customers, supply chains, NGOs or business associations.

In order to raise awareness of CSR among companies and business associations, the promotion of best practices and the sharing of examples are vital. A second approach, and maybe one that is more valuable, would be to show businesses what they can achieve through CSR. In this sense, corporate volunteering presents a good example on how CSR can help a company develop the skills of its employees.

Coming to the development of professional skills among a company's employees, there is little doubt of the contribution a skilled workforce can bring to the economy and operations of a company, and there are many ways of approaching the continuous development of individuals: One such approach is to educate the future business leaders with sustainability in mind; while a second approach would be to create partnerships between the academia and business,

allowing them to develop and encourage joint initiatives, and to share their resources and needs to mutual benefit. In this way, the academia gains from the up-to-date knowledge of the business world; while business benefits from the growth in appropriately- and well-educated graduates entering the job market.

Another collaborative action that can lead to new business is the launching of activities that encourage investment, entrepreneurship, facilitate the sharing of knowledge and support the spirit of innovation, which is vital for economic growth. Business Angel Programmes and e-mentoring are two such activities that have proven to be invaluable in achieving and sustaining these goals. Last but not least, by providing support to the legal base on how corporations operate both internally – through corporate governance, and externally in alternative dispute resolution – gives a shape to a business environment that is more transparent and less bureaucratic.

By focusing on these themes when encouraging and launching new initiatives and strengthening the existing projects between Turkey and UK, the Public Diplomacy Pilot Project, managed by the Foreign and Commonwealth Office, UK Trade & Investment and the British Council, has challenged the economic and social elements of society to create a better business environment for both UK and Turkish businesses, which will trigger their efforts to launch and build new economic relations.

Corporate Social Responsibility

Engaging Business with Development

Ömür Yapıcı




KalDer

The Corporate Social Responsibility Concept of KalDer

Ömür Yapıcı
KalDer
Publicity and Resource Development Manager omur.yapici@kalder.org

The Turkish Society for Quality, KalDer, was founded in 1991 with the purpose of strengthening management quality in the country. It works to produce consistent and sustainable value for society through its mission of creating a favourable environment for all national public/private and non-governmental organisations, helping them reach a world class level of quality, and thus increasing competitiveness. KalDer is driven by its vision to become an exemplary and world-leading organisation through widespread deployment and effective use of Total Quality Management throughout Turkey.

As is the case with all non-governmental organisations targeting social development and public interest, KalDer's defines Social Responsibility as its reason for existence.

KalDer recommends the EFQM (European Foundation for Quality Management)* Excellence Model to all organisations as a tool of self-assessment that can show an organisation its location on the road to excellence, enabling them to identify their shortcomings and encouraging appropriate solutions, and thereby providing a structured framework for their management systems.

The EFQM Excellence Model is based on eight fundamental concepts:

- Customer focus
- Partnership development
- People development and involvement
- Management by processes and facts
- Continuous learning, innovation and improvement
- Leadership and Constancy of Purpose
- Corporate Social Responsibility
- Results orientation

These eight concepts allow an organisation to assess itself on the basis of nine main criteria and 32 sub-criteria. The assessment identifies both the strengths of the company, as well as the areas with room for improvement, and provides input for long-term and everyday strategies of the organisation.

KalDer is the Turkish business partner of EFQM, which is a member of the Global Compact. EFQM has developed the EFQM Corporate Social Responsibility Framework (EFQM CSR Framework) based on the Excellence Model. The CSR concept, which had already been explored within the Excellence model, was further developed and became a more detailed model with the Global Compact.

In October 2003, the Global Compact signed a Memorandum of Understanding with the European Foundation for Quality Management (EFQM) with the aim of promoting corporate citizenship through the effective use of leading-edge management practices. This memorandum followed an earlier commitment by EFQM to integrate the ten main principles of the Global Compact into the corporate social responsibility guidelines of its EFQM Excellence Model, a non-prescriptive management framework currently used by over 20,000 organisations across Europe

There is a strong complementarity between the Global Compact and EFQM that is readily apparent: the Global Compact offers a framework for global corporate citizenship on the basis of universal principles, while EFQM offers concrete services and support to facilitate the integration of such frameworks into organisational excellence.

The EFQM CSR Framework, which draws on the EFQM Excellence Model, the Global Compact Principles and other resources, offers organisations a structured approach to corporate social responsibility.

Economic responsibility: integrity, corporate governance, economic development of the community, transparency, prevention of bribery and corruption, payments to national and local authorities, use of local suppliers, hiring local labour etc.

Social responsibility: human rights, labour rights, training and developing local labour, contributing expertise to community programmes etc.

Environmental responsibility: to prevent or minimise adverse impacts

The EFQM CSR Framework defines Corporate Social Responsibility as possessing the following common characteristics:

- Meeting the needs of current stakeholders without compromising the ability of future generations to meet their own needs
- Adopting CSR voluntarily, rather than as a legal requirement, because it is seen to be in the long-term interests of the organisation
- Integrating social, environmental and economic policies in day-to-day business
- Accepting CSR as a core activity that is embedded into an organisation's management strategy

The Rio and Johannesburg Summits and global climate change; ethical questions adversely affecting the savings of capital markets, and hence the people; and corruption and human rights issues affecting all humanity have gained importance on the agendas of both corporations and individuals. While CSR was becoming more and more widespread in the world, the EFQM CSR Framework, under the scope of the Global Compact, earned the appreciation of the United Nations.

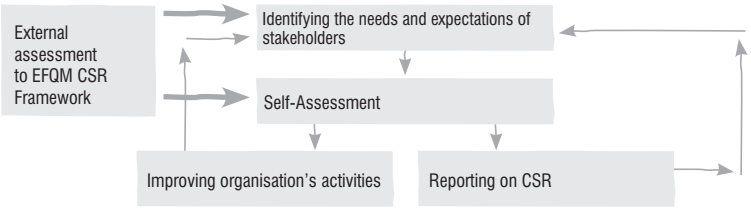
Every organisation that would like to become more responsible, and is keen to integrate principles of CSR into its own work style can use the EFQM CSR Framework as a basis.

Every organisation, regardless of its level of maturity, can draw benefit from CSR, and may already be using aspects of CSR in its strategies and values.

Organisations committed to their stakeholders and seeking excellence:

- Adopt a highly ethical approach to their daily actions and future plans that are transparent and accountable,
- Value and work towards social responsibility and ecological sustainability,
- Express corporate social responsibility through the values that are integrated within the organisation,
- Meet and exceed the expectations and regulations of communities,
- Manage risks, and
- Seek out and promote opportunities to work on mutually beneficial projects with society, and take care to minimise any adverse impacts on society, both now and for the future.

Below are the steps to be taken for integrating CSR policies and strategies into the general management structure in an effective and systematic way.



The EFQM CSR Framework will help in the development of CSR within an organisation's management system. It can be used within the framework of any management system and is fully compatible with the EFQM Excellence Model. For capacity-building purposes aimed at ensuring the concept of CSR is understood and internalised by organisations, global applications (Global Compact, SA 8000, ISO 14000, EMAS, Accountability Rating, GRI, Dow Jones Sustainability Index, FTSE4good), analyses of stakeholder expectations, risk-analysis and assessment within the scope of CSR, understanding the EFQM CSR framework, the RADAR assessment approach, self-assessment according to the EFQM CSR Framework and preparation of CSR improvement plans, KalDer delivers EFQM CSR Framework Training Sessions, offers assessment services, submits reports, organises benchmarking working groups and prepares various publications.

KalDer, as the first Turkish signatory of the Global Compact, a voluntary application that highlights the responsibilities of organisations to the community and the future, organised the Global Compact Leaders Summit on 12 November 2007 with the participation of the then UN Secretary General Kofi Annan, and encouraged ownership of the Global Compact by 35 reputed companies, including umbrella organisations such as TOBB and TÜSİAD. As of February 2009, membership of the Global Compact in Turkey has reached 162, and 6,684 globally from 120 countries around the world.

KalDer has brought together the business world around the main theme of equal opportunities for men and women with a declaration entitled Women's Right to Management, prepared with the participation of all relevant parties based on Principle 6 of the Global Compact, and published on 2 March 2009.

As of 2 March 2009, the Women's Right to Management declaration has been taken on by almost 50 organisations, including the TOBB Women Entrepreneurs Council, TÜSİAD, Türkonfed and GYİAD.

The next step in the Women's Right to Management project will be

to organise a Women's Right to Management Benchmarking Working Group in order to create an environment in which best practices can be exchanged between signatory organisations of the declaration. The next goal will be to transform this declaration into a significant pact that is recognised on international platforms.

The EFQM CSR Framework is recommended as a management tool through which organisations can integrate the CSR concept into all of their business processes, and monitor it through basic performance indicators, with an opportunity to integrate CRS into all their activities, stakeholder relationships and the current standards (e.g. ISO 9000, ISO 14000 etc.).

* **The European Foundation for Quality Management** (EFQM®) is a membership-based non-profit organisation created in 1988 by 14 leading European businesses, with a *Mission* of being the driving force for sustainable excellence in Europe; and a *Vision* of a world in which European organisations excel. EFQM has promoted the concept of partnerships with similar national organisations in Europe to help promote sustainable excellence in European organisations. All of these national organisations work with the EFQM to develop the Fundamental Concepts of Excellence and to promote the EFQM Excellence Model. By January 2004, EFQM memberships had reached over 700 organisations from most of the European countries and from most sectors of activity. Together with the National Partner Organisations (NPO) the membership network runs into thousands of organisations that employ several million individuals. The EFQM Excellence Model is a non-prescriptive management framework widely used in at least 30,000 organisations in more than 25 European countries, also reaching beyond the territories of Europe into countries in the Middle East and southern Africa. This model has been systematically reviewed and developed over the last 10 years, during which it has been in constant use, and is now supported via the network set up by national partners and licensed trainers. In addition to being the owner of the EFQM Excellence Model and managing the European Quality Award, the EFQM also provides a portfolio of services for its members. KalDer is the National Partner Organisation of EFQM and holds the commercial rights of EFQM products within Turkey. Since 1993, KalDer has been managing the National Quality Awards within the framework of the EFQM Excellence Model. Organisations receiving the National Quality Award have gone on to great success in the European Quality Awards.

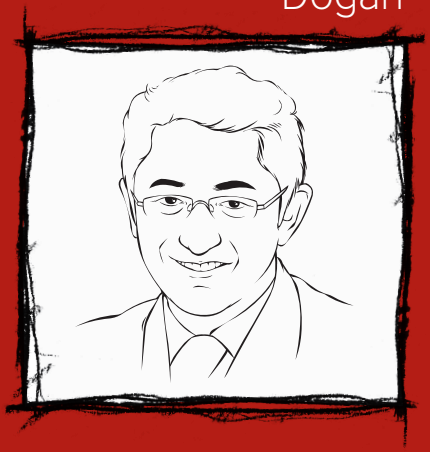
did you know

KalDer is an independent, non-profit organisation that aims at enhancing the awareness of management quality in industry, the public sector and NGOs to the benefit of every member of society. As a result of its many successes, and the consequent increase in the demand for its services KalDer has undergone a significant expansion since its inception, and now has branch offices in Ankara, İzmir, Bursa and Eskişehir.

Since 1993, KalDer has been managing the National Quality Award process in Turkey as a National Partner Organisation of the European Foundation for Quality Management (EFQM) Excellence Model for all sectors. On a global level, KalDer has been partnered with the American Society for Quality (ASQ) since 2006, and has raised awareness of EFQM in its neighbouring territories as a founding member of the Middle East Quality Association (MEQA). KalDer launched the National Quality Movement in cooperation with, and with support from, a number of model companies in Turkey.

The British Council and KalDer have collaborated for the 16th and 17th Quality Congresses in Istanbul, in November 2008 and November 2009, which saw participation by four distinguished speakers from the UK: Ian Blythe, from Boots; William Oulton, from FTSE; Bryan Cress, from CBI; and Patrick Mallon from Business in the Community, who gave presentations to around 300 participants from business, civil society and academic circles on subjects related to quality.

Hansın
Doğan




UN
DP

The UN Global Compact: A Call for Joint Action

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Through the power of collective action

The UN Global Compact brings business together with UN agencies, labour organisations, civil society and governments to advance ten universal principles in the areas of human rights, labour, the environment and anti-corruption

Launched in 2000, the UN Global Compact brings business together with UN agencies, labour organisations, civil society and governments to advance ten universal principles in the areas of human rights, labour, environment and anti-corruption. Through the power of collective action, the Global Compact seeks to mainstream these ten principles in business activities around the world, and to catalyse actions in support of broader UN goals. This shared understanding resulted in the world's largest voluntary corporate citizenship initiative, involving more than 4,800 companies from 94 countries, as well as 500 civil society and international labour organisations.

Since the Global Compact was established, corporate responsibility has grown both as a concept and in practice around the world, and its social validity is now compounded by a strong business case. Proactive corporate policies and practices that respect human rights and ensure safe and decent working conditions, environmental protection and good corporate governance create more sustainable value and benefits for workers, communities and society at large. They also enable businesses to attract and retain skilled workers, save costs, enhance productivity, build brands, and create trust and positive reputations with their stakeholders.

Combating corruption

By working both collectively and individually to combat corruption in business practices, the Global Compact participants are helping

to ensure that the performance, integrity and effectiveness of the private sector are not undermined. It is certainly the case that corruption impedes the development of markets, drives away investment, increases the cost of doing business and undermines the rule of law, and as such has a corrosive effect on democracy and the general well-being of a nation.

The implementation of universal principles in business is a long-term process, and as such the Global Compact emphasises the importance of following a path of continuous improvement. This requires the sustained support of corporate leadership through ongoing activities and partnerships, as well as a company's engagement in dialogue, willingness to learn and dedication to practical actions.

Good progress is being made, but there is still much to be done to put a human face on globalisation – what is needed is more innovative business approaches that serve both society and commerce.

Global Compact in Turkey

The significant interest in the Global Compact in Turkey – with recent new members that include the Sabancı, Doğuş and Zorlu groups, the Union of Chambers and Commodity Exchanges of Turkey (TOBB) and the Turkish Industrialists' and Businessmen's Association (TÜSİAD), among others – is a good step forward for increasing the scale and scope of corporate responsibility around the world. Of additional importance is the following of a value-based approach to business, which can contribute to the further integration of Turkey into the global economy and the international community. The values of the Global Compact are universal and enjoy political and social legitimacy virtually everywhere in the world. Companies, academia, labour and civil society organisations in Turkey are encouraged to learn more about engaging with the Global Compact and playing a role in producing widespread positive change.

did you know

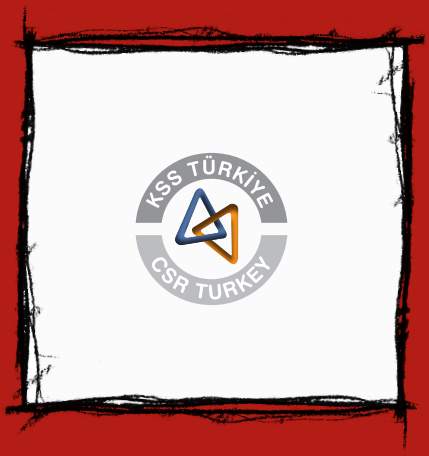
The British Council has put its considerable support behind the Global Compact since its inception, arranging a number of promotional events in Turkey in recent years. At a Global Compact Turkey Networking Event hosted by Koç Holding in October 2007, Michael Spenley, head of Corporate Social Responsibility (CSR) at online clothing retailer Littlewoods, and chairman of the UK Network of the UN Global Compact (UNGC), spoke to an audience made up of representatives from the Turkish private sector. He called on the participating company representatives to use the conference as a platform for discussing the Global Compact Principles, and evaluating the benefit of integrating these principles into business operations.

The following year, in November 2008, the British Council brought together interested parties for the Progress and Value Workshop in Istanbul, part of the UNGC Progress and Value Workshop, during which keynote speeches were made by Head of Responsible Investment at the FTSE Group William Oulton, and by Patrick Mallon from Business in the Community.

Other events supported by the British Council include a visit by Turkish Global Compact members to the UNGC UK Network in March 2007, when the Turkish delegation met with their counterparts in the United Kingdom for networking events; and last but not least, with support from consultant company Su CSR, the British Council arranged the Turkish translation of the After the Signature booklet, a toolkit developed to help new members of UNGC to facilitate and support their signatories.

Serdar
Dinler




KSS TÜRKİYE
CSR TURKEY

Corporate Social Responsibility: The Turkish Approach

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A recent European Union green paper defines Corporate Social Responsibility (CSR) as 'a concept whereby companies integrate social and environmental concerns into their business operations and in their interaction with their stakeholders on a voluntary basis'; and the concept has generated much excitement in many of the OECD member countries, Turkey being no exception.

It is well-known that Turkey has a strong history of philanthropy that needs to be converted into CSR practices, which in turn need to be integrated into the business practices of companies by following the best practices at work in the EU markets.

The CSR Association of Turkey is an independent NGO, formed with the efforts of academicians, businesses and civil society organisations. It aims to promote the concept of CSR not only in the business world, but also among other stakeholder groups, such as the government and NGOs; and in this respect CSR Turkey, as the National Partner organisation of CSR Europe, can provide important insights that may enrich social development.

CSR Turkey's approach to CSR takes the form of a deep analysis and a business approach, while also not underestimating the existing international standards. CSR Turkey carries out a number of key activities that enable the private sector to become more competitive through the efficient participation of workers in business processes, environmental protection and public/private sector partnerships. The activities of CSR Turkey also support efforts for achieving sustainable business development.

CSR Turkey has developed several activities to increase the impact of CSR in Turkey. Human rights, the environment, working conditions and ethics in CSR are a key to the gateway of a global framework

of the concept. As such, CSR Turkey aims to increase responsible practices in businesses for their transformation to CSR. Below are some of the activities carried out by CSR Turkey:

- Compilation of a Baseline Report on Corporate Social Responsibility in Turkey
- CSR Forum for Development
- Public Private Partnership Summit
- Global Compact Steering Committee Membership
- National Round Table in Turkey on Social Standards
- 'Accelerating CSR practices in the new EU member states and candidate countries as a vehicle for harmonisation, competitiveness and social cohesion in the EU'. A research conducted for the European Union and the United Nations Development Programme
- Several local and national round table meetings on CSR with SMEs and business associations
- Preparation of National Plan on CSR
- Membership to the CSR Platform of Turkey

It has been observed that the issue of human rights is still only perceived as being related to torture and violence. To remedy this misconception, CSR Turkey reminds its stakeholders that human rights is a comprehensive issue that includes the right to live in a habitable environment, the right to a primary education, the right to basic healthcare, workplace discrimination and child labour. As such, CSR Turkey continues to highlight this issue in its publications, trainings and presentations.

CSR Turkey has a basic approach to labour standards that champions the right to association, and endeavours to promote this on all available platforms. It establishes relations with its stakeholders to give workers the freedom to choose to be members of a labour association if they so desire. The key point that CSR Turkey tries to put across is that membership of such an organisation is not a critical

issue; while it is important to at least give employees the freedom of choice in whether or not they become members of such associations. CSR Turkey also promotes collective bargaining through its trainings, company visits, speeches, panels and seminars.

CSR Turkey's approach to the environment is to encourage businesses and the general public to increase competitiveness in environmental investments. CSR Turkey also advocates a better legal framework for environmental issues in business, promoting the development of environment friendly activities, technologies, global and national best practices. This is another issue that has been shared with its members and stakeholders through trainings.

CSR Turkey highlights how business relations are inter-connected. A corrupt business relation can ruin the reputation of a company, and thus strong rules, follow-ups and mechanisms are required to ensure corruption is avoided. CSR Turkey believes that such action is needed to raise awareness and distinguish an honest company from a corrupt one, and will be a key factor in the stimulation of success in business in the long term. CSR Turkey raises these anti-corruption issues among companies through its trainings and projects.

Another key issue in CSR is the contractual obligations and risks which are the key indicators of a company's business structure. Contracts are difficult to follow-up and require better management to eliminate corruption cases, and a company with better contractual compliance would reinforce its anti-corruption capacity. CSR Turkey itself boasts transparent and accountable financial management, and all donations to the organisation are accepted through pre-determined procedures.

Turkey will need to have CSR mechanisms in place in time for its accession to the European Union. Turkey is increasingly harmonising its legislation as part of the negotiation process, which will entail the adoption of the *acquis communautaire*. This contains such elements of CSR as consumer and environmental protection, labour rights and the promotion of fair competition.

In the recently-released Business Competitive Index from the World Economic Forum, Turkey is ranked below several of the European countries in terms of competitiveness, which can to some extent be attributed to the lack of CSR in the country.

CSR issues such as consumer and environmental protection and the promotion of fair competition are key issues for EU accession. Companies who do not comply with the related EU regulations will not be able to access the EU market, effectively blocking access to a market of 380 million potential consumers and 8.5 trillion Euro of market demand.

It has been seen that foreign direct investment in Turkey has influenced the adoption of CSR practices. Many leading Turkish trade and industry companies have began to initiate CSR practices in recent years, but they also need to develop sustainable and socially responsible investments. SMEs in Turkey still need to make strong commitments to adopt CSR practices, and the media, which plays a key stimulating role in Turkey, can help in this regard.

The impact of CSR on the competitiveness of the EU market has been significant. To satisfy the need for competitive companies, Turkish businesses need to develop sustainable CSR partnerships with their EU counterparts, and to integrate CSR practices into all elements of their businesses, from their supply chains to their own human resources.

The Green Paper on CSR has highlighted that during EU accession processes, structural changes occur that can affect companies and their production methods, all of which need to be planned with CSR in mind, and must take into consideration how the labour, supply chains and other stakeholders will be affected.

In this regard, CSR Turkey has launched a project in partnership with CSR Europe under the auspices of the EU Civil Society Dialogue Programme. The project, entitled Accelerating CSR in Turkey, aims at popularising the issues of CSR, such as fair trade, environmental concerns, corporate governance and socially responsible

investments, by raising interest among the general public in the following ways:

- Promoting trust and mutual understanding building by providing national stakeholders with the opportunity to improve their dialogue on CSR and the exchange of best practices.
- Promoting CSR as a practical tool for local business that can integrate them into the EU market, which will in turn raise their global competitiveness.

The activities of the project are as follows:

- Awareness Raising Conferences
  - 2 CSR Conferences
    - 17 October 2008 – CSR Adding Value Conference
    - 6 February 2009 – CS
- 2 Mentoring Visits
    - Spain/Foretica – CSR-Marketplace Event (October 2008)
    - Belgium/CSR Europe (April 2009)
- 1 SMEs Training (March 2009)
- 1 Media Training (September 2009)
- CSR Turkey Marketplace (September 2009)

The project brings together many of the CSR stakeholders in Turkey in activities hosted by Kadir Has University, while the British Council provides strategic support to this first EU Project on CSR in Turkey. The British Council also provides support for many other activities of the CSR Association of Turkey through its know-how and the Public Diplomacy Pilot Project.

did you know

To date, as there has been only limited progress in the legal framework and governance of CSR in Turkey, support from British Council has been vital in disseminating international good practices and providing a basis to develop a CSR Agenda in Turkey. Since 2007, the British Council has been working with the Turkish Industrialists and Businessmen's Association (TÜSİAD) to establish a CSR working group, which will be made up of TÜSİAD members and other relevant stakeholders, such as representatives from the UNDP and the CSR Association of Turkey.

In July last year, a round table discussion was organised by the CSR Association of Turkey at TÜSİAD, during which UK MEP Richard Howitt spoke on the subject of 'How can Turkey can benefit from CSR in the EU harmonisation process?' to an audience of business and NGO representatives. Some of Turkeys largest companies, holdings and trade organisations were represented, including the Koç Group, TEKNOSA, the Istanbul Textile and Apparel Exporters' Association, Vodafone, UNILEVER, Borusan Holding, Doğan Yayın Holding and Sütaş, as well as Turkish MP Faik Öztrak.

When asked how he thought the CSR process should be controlled, Howitt stated his belief that that CSR projects should be audited according to global standards, as is the case in financial circles, but warned that if these auditing processes were too tight there would be a danger of upsetting smaller companies, as such projects are necessarily conducted on a voluntary basis.

Howitt complemented the British Council in Turkey for their support in the launching of the ENGAGE programme with the Corporate Volunteers Association, affirming his belief that community involvement programmes were a bridge for shifting corporate behaviour from philanthropy into a business-level strategy.

Zeynep
Uluer




Özel Sektör Gönüllüler Derneği
Corporate Volunteer Association

Getting Employees Involved in the Local Community

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Community Involvement is an important way in which companies can involve their employees in Corporate Social Responsibility Programmes. Corporate Employee Volunteer participation can be an integral part of creating the sustainable ownership of CSR programmes, as can clearly be seen in the new activities of the Corporate Volunteer Association-ENGAGE Istanbul Project. The project challenges companies and their volunteers to come together to solve a particular issue, without regard for their brands.

The Corporate Volunteer Association (CVA) (Özel Sektör Gönüllüler Derneği [ÖSGD]) was founded in 2002 and has around 60 corporate members. Its mission is to leverage the skills of people employed in the corporate sector to benefit civil society through volunteer programmes. To do this, the CVA maintains its position as a point of reference with regards to corporate employee volunteer programmes; its members seek the support of the CVA when they wish to work with non-profit organisations, and the CVA then acts as a bridge between the organisation in the field and the company.

One of the programmes the CVA has developed is called The School Friend Programme, in which a state school is appointed to any member who wishes to support education through volunteer programmes. The CVA has a special protocol with the Ministry of National Education, which allows for employee volunteers to participate in such projects as Read a Book or Financial Literacy projects.

A research carried out by the CVA shows that if the management of a company creates an enabling environment, employees from all levels of the company will show a willingness to serve the local communities on many different levels, mobilising resources from all directions and responding quickly to specific needs of the community.

Some start by collecting funds and clothes for the poor, or by trying to solicit support for the donation of second-hand books or stationary supplies for less well-off students. Later, they determine a specific need of the community, whether it be a library or a school laboratory. Employees may even plant large numbers of trees with the support of the company.

Volunteer programmes help to increase loyalty to the company, and allow participants to develop skills in such areas as teamwork, problem solving, leadership, communication, organisation and time management, while also raising awareness of social issues. It has also been indicated that such programmes can positively affect the health of employees, and can even raise morale during difficult times.

The CVA-ENGAGE Istanbul Project is the first of its kind in Turkey, carried out with the cooperation of seven local companies, namely Boyner Holding, the British Council, Citibank, Delta-Eko, HSBC, Netron and Nurol Holding, who aim collectively to raise awareness of the importance of recycling among state elementary school students. The programme, entitled The Environmental Penguins, targets 4th- and 5th-grade students, and takes place over two 40-minute classes.

Each company partners with a school in its own neighbourhood, often within walking distance, and volunteers from the participating company visit the roughly 40-student classrooms in pairs during their lunch breaks. They complete the educational sessions in two weeks, bringing their own materials to help students become creatively involved in raising their own awareness of the value of recycling. There is a very low monetary outlay required from the participating company for this programme, all of which is allocated for the procurement of the necessary materials for each 40-student class.

The programme is prepared by the volunteers, and takes into account the state school class curriculum, allowing the students to build upon their existing knowledge. The programme is been reviewed by the teachers and principals, whose input has proven to

be very valuable in the past successes of the project. The students are given a test both before and after the classes to help evaluate the increase in knowledge and level of understanding.

Following the implementation of the project in the state schools that are close to the ENGAGE member companies, the project will be shared with the Small- and Medium-Sized Enterprises (SMEs) in Istanbul to support their participation in CSR projects. The CVA-ENGAGE Istanbul Project will be an easy project for them to participate in if they are willing to become involved in CSR. Thus, there will be a multiplier effect whereby thousands of employees and students will benefit. A toolkit and a Train the Trainer Programme will help the SMEs to begin community involvement as part of CSR.

In summary, Community Involvement by a company's employees is a most valuable tool for the sustainability and ownership of a Corporate Social Responsibility Programme. If communicated well, a committee of employees, supported by the Human Resources and Public Relations departments, can help to raise awareness of the overall CSR campaign of the company. The programme has the potential to identify hidden heroes in all corners of the organisation; and even if the volunteering doesn't focus upon the issue of CSR, efforts in cooperation with local non-profit organisations can inspire further volunteer participation.

did you know

In November 2008, the CVA-ENGAGE Project in Istanbul was given a boost with the visit of Patrick Mallon, International Director and Director Benchmarking & Reporting at Business in the Community. Patrick was in town to speak with local businesses and NGOs on Corporate Social Responsibility issues, in which he was assisted by Business in the Community's Turkish partner, CVA Volunteer.

On day one of his visit, Patrick took part in a workshop entitled How to Effectively Measure Impact. Discussions were held with representatives from four of Turkey's leading companies, operating in a variety of sectors, who gave presentations outlining their involvement in the community. Patrick was impressed with what he found, hailing the approaches to community engagement of all four companies as professional and dedicated, and on a similar level to many UK companies.

While in town, Patrick also spoke at a Global Compact Progress and Value Workshop Series event, before joining a panel session at the Quality Conference focusing on Communicating CSR alongside Will Oulton from FTSE and Bryan Cress from the Confederation of British Industry. 'Of the 100 or so people in audience, probably three quarters were from the business community – which reinforced for me the growing importance of CSR in Turkey and the importance of business learning from business,' he said.

After leaving Istanbul, Patrick stressed the importance of having an honest broker like the British Council to promote the agenda of ENGAGE, alongside all its other activities, and expressed his desire to see the British Council forging links between British and indigenous businesses in other countries.

Levent
Dokuyucu




HSBC

Corporate Volunteering as a Way of Promoting Skills and Development: The HSBC Case

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OUR CSR STRATEGIES:

At HSBC, our goal is to be one of the world's leading brands in corporate sustainability. For HSBC, sustainability is about making decisions that maintain the right balance between the environment, society and the economy to ensure long-term business success, and this commitment to sustainable principles is part of our company's culture.

We want to serve our customers with honesty, and lead by example as a bank. We continue to support the UN Global Compact and it's principles on human rights, labour issues and the environment. We are the first major bank in the world to become carbon neutral; and continue to examine our own direct environmental impacts and review how best to reduce them. We set targets to reduce our energy, water, waste and carbon dioxide between 2004–2007, and having made progress in this regard have now set new targets for 2008–2011.

Research and education are vital elements in the promotion of sustainability. In 2007 we launched two initiatives that were designed to expand knowledge and understanding. Aside from establishing five different Climate Change Centres of Excellence in different parts of the world, we have also launched the HSBC Climate Partnership, which not only commits $100 million to fund some of the leading environmental organisations, but involves over 100,000 of our colleagues in learning and volunteer programmes over the next five years.

We also believe that supporting communities through direct financial donations and the involvement of our employees makes an important contribution to our Corporate Sustainability Strategy. We are focusing on education and the environment as two areas that are crucial for

sustainable development, and in this respect we aim to allocate 75% of our community investments to these areas. In 2007, we invested $118 million into the support of communities around the world; and have encouraged our employees to engage in these programmes to develop stronger ties with the local communities. We believe that there is a clear link between community involvement and overall employee engagement. HSBC's Global People Survey showed that those employees that were involved in community projects in the past year were 10% more engaged with HSBC than those that were not involved.

Last year, HSBC employees raised funds totalling $14 million, and HSBC has facilitated the involvement of its employees by providing time off for the carrying out voluntary work.

Key Partnerships in Education:

Future First: Providing assistance in education, medical care, support and accomodation to 37,000 street children, children in foster care and orphans in 29 countries.

HSBC Scholarships Awards: HSBC awards 6000 scholarships each year.

Financial Literacy Programme: Launched in 20 countries, reaching 415,000 university/college students.

Global Art Projects

Key Environmental Programmes:

HSBC Climate Partnership

Eco-schools Programme

Experiences of HSBC Turkey and Some Thoughts About Corporate Volunteering:

As HSBC Turkey, we follow similar strategies as the group: We examine our own direct environmental impacts and review how best to reduce them, and have our own reduction targets. HSBC in Turkey has green offices, containing systems that promote energy efficiency, while also promoting environmental awareness and the benefits of volunteer work among our employees.

As a bank initiative, we are sponsoring some CSR activities, providing scholarships to around 1000 university students, and providing micro-credits (in ten different cities through two NGOs) to thousands of women.

The HSBC Volunteers club has 7000 members and a management board of 30 volunteers.

Our volunteer projects include:

- **Partner Schools Project:** Supporting 50 schools through voluntary work.
- **Social Activities** linked to some volunteer projects.
- **Carbon Busters Projects:** We have 50 carbon busters within the bank who help us in our activities.
- **Climate Champions:** There are 15 Climate Champions from Turkey who received 15 days of formal environmental training at one of our Regional Climate Research Centres. These employees are in the process of launching environmental projects.
- **ENGAGE-ÖSGD Projects:** As a member of the ENGAGE community, our volunteers provide environmental training programmes to different schools.
- Support of our branch and individual volunteer projects.
- Informing employees of environmental issues, supporting bank-wide initiatives.
- Research into our waste processes and lobbying of upper management teams.

Conclusion:

Each year, we offer different volunteer programmes to our employees, and approximately 10,000 have participated to date. The general feedback has been very positive, with those that have taken part doing so with enthusiasm; and subsequently, their engagement in HSBC is increasing. Participation in these projects fosters pride in the company, and allows an understanding of how valuable personal contributions can be to society. HSBC employees are learning and increasing their awareness of social issues and the environment, and are passing on this knowledge to others in many different ways.

We believe corporate volunteer programmes provide benefits not only to the recipients of the volunteer programmes, but also to the individual volunteer, both in the development of specific skills, but more importantly in their own personal development.

To date, volunteers from HSBC Turkey have worked in many different projects, during which their communication, persuasion and project management skills have increased. Working in project teams, the volunteers plan, coordinate, execute, review and report their actions, and as such, managing a volunteer project can be likened to managing a multi-functional team/department in terms of the leadership, motivation, encouragement, planning, problem solving and diplomacy required. As a result, every participant is considered as a leader, regardless of his/her location or standing in the company. We truly believe in shared leadership.

In our experience, all of our volunteer leaders are recognised as being successful in their professions, and take part in these programmes with a keen enthusiasm. According to Abraham Maslow's famous Needs Hierarchy Model, being a volunteer and managing a volunteer project facilitates a self actualisation of ourselves, which is of great importance for the well-being of us all.

did you know

British Council Turkey played a significant part in the launch of the ENGAGE programme in Turkey, having first brought together the UK and Turkish partners for a meeting back in March 2007. As a result of that meeting, Business in the Community (BITC) and the Corporate Volunteer Association [CVA] in Turkey got together to promote ENGAGE in Istanbul. The programme kicked off with a one-day training session for representitives of over 30 major companies and NGOs, during which methods for building capacity in volunteer management were discussed, with evidence provided from past successes. More importantly, the session initiated a discussion platform for both NGOs and the business sector.

The Engage Istanbul Programme was given an official launch in the presence of HRH The Prince of Wales, Prince Charles in November, at an event entitled Building Collaborative Projects in Istanbul, which saw the establishment of international partnerships between participating businesses and NGOs from the United Kingdom, Germany, France and Slovakia.

Since that time, the British Council has continued its support of the programme, assisting in the continuation of the first pilot project in which representatives from the private sector are working together to raise environmental awareness.

The British Council has also arranged and attended actively in further meetings between NGOs and businesses, organising a training session in May last year aimed at showing the importance of awareness raising, as well as the methods used in measuring the impact of the community projects being run. The event was attended by an expert from the London Benchmarking Group (LBG), who gave a presentation on the model being applied successfully in the UK for over a decade.

Kerem
Okumuş




REGIONAL ENVIRONMENTAL CENTER
Turkey

A Paradigm Shift for Businesses: Corporate Sustainability

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Never before have so many companies been so willing to adopt green and sustainable methods in their daily business operations and manufacturing processes, and in the services they offer. Is this because discussions related to climate change and the related environmental problems (drought, extremes of climate, increasing numbers of natural disasters, etc.) carry significant importance in the global agenda? Or maybe is it because companies feel it is their responsibility to provide solutions? Perhaps it is that consumer patterns are changing towards more sustainable products and services, applying market pressure on businesses to change their business operations and marketing strategies? Or could it be that it is just a simple communications tool that the companies are adopting in order to keep up with the new global trend? These questions of course can go on and on.

However, companies that attempt to use the principles of sustainability only to maintain and increase their corporate reputation in society, and thus increase their market share, are becoming obsolete; as are the companies that consider corporate social responsiblity only as philanthropy. These companies tend to prioritise a growth-oriented strategy, placing importance in their vested economic interests, and try to adopt a business approach that brings profit maximisation at any cost. The outdated notions of resource management being pursued in some quarters are no longer valid when facing today's global ecological and social problems, which have tuned into structural bottlenecks along the path to a sustainable future. Therefore, a paradigm shift has to be made to develop a new business model that will contribute to the efforts of a more sustainable world.

Today, balance sheets can no longer be used as the sole indicator of corporate value and company performance, as what is more

important is the sustainability of the corporate value and the economic, social and environmental performance indicators of the company. In order to achieve sustainability in businesses, it is essential to firstly succeed in establishing a value chain by following various processes, taking into account the interests and concerns of all stakeholders, including the supply chain, employees, customers, communities, shareholders, trade unions, civil society etc. Even then, sustainability only becomes possible with the integration of all the economic, environmental and social elements of a business operation under the principle of corporate governance, and with a minimisation of the potential risks and costs that are likely to be encountered along the way.

Companies that operate in a transparent and accountable way, and that have adopted a governance approach, tend to include sustainable environmental management systems and establish normative targets (such as 'zero-waste' and 'carbon-neutral' production) as part of their voluntary actions. At the same time, these companies tend to acknowledge that social values such as the provision of health and safety at work, social rights, equal opportunities, training opportunities and freedom of association are key elements of sustainability.

This approach enables companies to consider their potential environmental and social expenses as part of their operational costs, and thus an essential part of their business processes. In this way, corporate sustainability compels companies to adopt a more innovative approach towards resource efficiency, and encourages them to plan proactively for the management of potential risks and costs.

Companies are becoming more willing to share their sustainability and social responsibility reports, as well as any successful business models, related initiatives and quantitative targets for the coming periods with their employees, customers, suppliers and the general public, media and NGOs, as members of their broader stakeholder group. These constructive initiatives lead to an increase in the trust and loyalty attributed by customers and employees to companies;

and can play a major role in increasing the brand value, which these days is an intangible asset that can carry even more weight than a company's tangible assets.

The sustainability of a company should not be underestimated in terms of attracting investment. Today, there are individuals, portfolio managers and certain responsible investment funds that are keen to invest in sustainable companies. This is mainly because the stock prices of sustainable companies that adopt a transparent and responsible governance approach, and that foresee and manage the potentail social and environmental risks, tend to increase steadily in the long term.

Thus, structures such as the Dow Jones Sustainability Index, which measures and rates the sustainability of companies in an objective manner, can be vital for sustainable companies, especially for those whose shares are traded on the capital markets.

Nowadays, the financial crisis and the ecological problems that we now face show that short-term initiatives and unsustainable business operations are no longer viable options, and there are many examples in the world of companies that have managed to internalise sustainable business practices that have not been affected by the current financial crisis.

It is now a necessity for companies in Turkey to implement new business practices if they are to achieve sustainability; and it is our desire to see companies do this in an innovative and responsible manner that will enable them to compete in the low-carbon economy of the future.

For this wish to come true, much-needed structural support will be required, but this will only become available if Turkey can revitalise her journey towards full EU membership. It is only with an increased commitment to EU accession that Turkey will be able to participate in the new low-carbon global economic order expected with the next climate regime in the the post-2012 period.

did you know

The REC Country Office Turkey (REC Turkey) has been striving to promote a sustainable business model in the country since 2004. In doing so, REC Turkey has institutionalised a prominent support mechanism together with Boğaziçi University, and has thus developed a certificate programme on Corporate Sustainability for the participation of mid- and/or high-level business proffesionals. The objective of this REC initiative is to enable participants to develop the necessary skills and competencies to cope with the increasing challenges of today's competitive environment and produce sustainable solutions. REC Turkey intends to develop a better understanding of the role of business in attaining the goals of sustainability, and to encourage changes in the corporate culture by implementing socially- and environmentally-responsible management schemes that reduce environmental stress.

The British Council Public Diplomacy Programme has provided instrumental support to REC Turkey in the implementation of the above-mentioned activities, and contributed financially to the realisation of the first ever course on Corporate Sustainability in Turkey in 2008 in cooperation with Boğaziçi University. Speaking at the event, Ivor Jeremy Hopkins, director of UK consultancy company MHC International Ltd., spoke to a group of businessmen and women on the subjects of Corporate Social Responsibility (CSR) and Sustainable Business Practices. He said that companies had an environmental and social responsibility to leave behind non-sustainable production and consumption, proposing methods and options for the creation of more sustainable models.

Professional Skills

Empowering Education for Business

Engin Güvenç




Business Council for
Sustainable Development
Turkey

The Role of Universities in the Success of Sustainable Development

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In the business world, the key to success lies in the ability to anticipate and take necessary action in advance of changing trends, rather than resisting such changes. However, to achieve this demands the vision of capable individuals with the right education.

Companies that are endeavoring to restructure themselves to increase their long-term profitability and efficiency have recently become familiar with the concept of Corporate and Social Responsibility, which is rapidly gaining in importance all around the world.

The traditional business model has undergone many changes in a short period of time for companies who looked previously only for profitability, growth, new investments and rising stock values; and there are new imperative focus areas that need to be addressed if they are to ensure a continuation of their business. It has now become necessary for companies to review their visions, missions and values, as well as their business processes, profitability, customer loyalty, stock values, and the motivation and loyalty of their employees, all of which are now considered as vital elements in the success of a company.

The Business Council for Sustainable Development Turkey (TBCSD) was launched in 2004 with the cooperation and leadership of national and international companies based in Turkey, and was the product of almost two years of preliminary studies and works by its members. TBCSD puts forward a business approach that works on the basis of multi-responsibility in terms of the environment, society and the economy, which is a world away from the accepted approach followed by the traditional business world.

These three elements are now fundamental issues for businesses,

and have a marked effect on the strategies and business styles of companies. TBCSD has undertaken the task of raising the awareness of other organisations in the Turkish business world about this change, which first came to light long ago in other parts of the world and which now comes under the heading of Sustainable Development. TBCSD is trying to help companies to adapt to sustainable development, defining as its main mission the sustainable success of Turkey and the Turkish business world, and is making significant contributions to the competitive positions of companies on the global platform.

Sustainable development is a platform of change. It is also defined as the ability to understand the separate and interconnected dynamics of change in environmental, social and financial risks; to estimate beforehand the points of risk for companies; and to transform these risks into opportunities when developing long term plans and strategies. However, the main asset is an ability to be responsible.

Resistance to this change by an organisation or an executive can be a grave error. Trying to understand how, and under which conditions, changes occur, and diverting risky areas of business in a direction where targets can be met in this changing environment is critical. Being able to manage this complicated and often daunting atmosphere of change necessitates executives with vision. They must be able to see ahead, and be capable of adapting the company to sudden changes, aided by a knack for research and strategic planning. This, combined with good analytical thinking skills and an ability to understand socially sensitive issues and dynamics, forms the basis of what is needed to ensure sustainable development, which is an extensive interdisciplinary concept that, in short, requires very well-equipped executives as a prerequisite.

However, sustainable development requires more than just the input of top-tier executives, as those at the mid-level must also be involved to ensure that all areas of responsibility, generally centered on a director general, are reflected efficiently in all practical applications.

The Business Council for Sustainable Development Turkey (TBCSD)

has decided to lend its support to the business world by hosting graduate and post-graduate programmes in universities to ensure a better understanding and implementation of sustainable development in a professional sense within the business world.

In launching this project, the TBCSD kept in mind that the university graduates of the present and future will be the leading executives in the business world of tomorrow, and as such, the aim is to support the training of well-equipped human resources for companies who want to practice the concept of sustainable development.

The project was launched in 2006 with cooperation from members of TBCSD, World Business Council for Sustainable Development (WBCSD) and the academic advisory council. Workshops were organised to bring together representatives from nine leading universities in Turkey, during which the project team worked with international agencies, as well as with other important partners working in the field of sustainable development.

It became clear during the workshops that the often unexpressed training needs of the business world were being addressed. These often remain in the background due to the lack of experienced trainers in various fields, coupled with unclear sources of potential finance; however this is something that the universities are looking to start in Turkey in the future.

These trainings, which will strengthen the competitive position of Turkey's universities on the global platform, will also be a fundamental asset for the global success of Turkish businesses. The workshops highlighted the mission of our association, and disseminated information on vision, resources and applications that were obtained from the WBCSD.

With support from the UNEP and the British Council, foreign universities with curricula that include elements to address sustainable development were brought together with Turkish universities at a high representative level, and viewpoints and experiences were exchanged. A Master Class, organised at the final

workshop was held with British Council support, which confirmed the level of demand in this field.

Providing support to academic institutions to ensure that steps are taken towards a more responsible and more competitive, efficient and successful Turkish business world is a priority. Mid- and top-level executives who will undertake the management of companies can be trained and raised from these academic institutions and can go on to carry their companies to success.

At TBCSD, we believe that this project will strengthen the positions of our universities in terms of competitiveness and in the development of programmes that are suited well to the 21st century. This process has already started, with some of the universities having accelerated their works in programmes in the field of sustainable development. However, the aim is to speed up this progress, as its successful implementation will create new opportunities for students and young people.

TBCSD and its members have a rich portfolio of model applications from both Turkey and abroad. This portfolio is open for sharing, in line with the objective of developing sustainable development applications and broadening visions, and will be offered for further exchanges. There is no doubt that Turkish companies and young people taking their first step in the business world will be able to carry Turkish business to success by drawing on these experiences.

Today, many organisations have completed the process of harmonisation with the principles of sustainability, and are now continuing to work in order to adopt these principles into their operations. The most important guides they have at this time are executives who can combine effective leadership capabilities with a knack for team-play. Sustainable development is perhaps the most important, most extensive and broadest process of change that has been seen to date, requiring a radical change of culture, and it is of utmost importance for the permanence and success of businesses in the country.

If this change cannot be understood and managed properly today, it has the potential to be a significant risk environment in the future. Therefore, the Turkish business world needs to accelerate its learning process in this issue, and needs to manage it properly. Change management is a significant and long-term process that starts with the vision and leadership of top-level management, which can filter down to encompass the entire organisation and all its employees under their coordination. However, the ability of executives to implement this major change will only be possible if they are backed by a strong academic education.

did you know

The Turkish Business Council for Sustainable Development (TBCSD) targets the sustainability of Turkish businesses, and thus Turkey itself, on the global stage. Working closely with the World Business Council for Sustainable Development (WBCSD) as a only representative, the organisation aims to maintain the social, economic and environmental atmosphere and conditions required for sustainability.

To do this, TBCSD calls on British Council Turkey to assist in the forming of partnerships between universities in the UK and Turkey by organising platforms where like-minded organisations and individuals can come together to discuss issues of mutual interest.

For one such event, held on 20–21 November 2008 in Istanbul, the British Council organised a workshop in Istanbul on the subject of Sustainable Development between UK and Turkish Universities, in partnership with the TBCSD.

On the first day of the event, representatives from the UK Universities gave presentations on their Sustainable Development Programmes, while Turkish universities outlined their own approaches and plans in the same field. The day's programme culminated with discussions into how the ideas raised could be further developed, and potential partnership opportunities for the future. Day two of the conference saw the hosting of a Master Class in the İbrahim Bodur Auditorium of Boğaziçi University. The event attracted 162 participants from Turkish universities, the private sector and the media, who listened to presentations by lecturers from Kingston University London, Manchester Metropolitan University and Sheffield Hallam University. The core purpose of the programme was to define the position of Sustainable Development in the business, management and environment network, which provoked an insightful discussion at the end of the day. The two-day event was a marked success, providing food for thought for many of the participants to take away with them and ponder for similar future events.

Emine
Çarkçıoğlu




BRITISH
COUNCIL

A Partnership for Development: Business and Vocational Schools Partnerships

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Today, the skill and level of development of a company's, or indeed country's, human resources are the most important assets to survival in global competition.

While elements of business such as marketing strategies or fabrication methods are relatively easy for a competitor to mimic, it is the skills of a company's human resources that remain as its strongest and most precious asset. A well-trained workforce is crucial in the drive for sustainability in a company, as it can help to reduce costs through effective working methods and decision making processes.

A skilled, experienced and professional workforce can give support to a business in terms of creativity and innovation, which are core goals in a company's drive to remain competitive. By nurturing the employees' skills and professional development, a vision of entrepreneurship in terms of being part of the corporate can be achieved in the workforce, forming a basis for a sustainable and healthy business environment.

Nowadays, the challenges that need to be addressed in education are two-fold:

1. There has often been a failure to apply new technologies, methodologies and developments to the education system and curricula. Teachers may be aware of new developments, but often find it difficult to bring them into their teaching area as the education system usually reacts much slower to changes in technology or in the business world.

2. There has been a failure to integrate education with business, and thus the requirements of the business world are often ignored. In the past, when industry was a much simpler field

> and when competition was not that tough, school-leavers were skilled enough for industry, as supply and demand was not so conflicted, however since production systems have become more complicated and competition has got tougher, the starting skills of new employees has become a matter for question. Unfortunately, education has still not achieved sufficient awareness of how to proceed in a structured way, and collaboration is still a 'terra incognita' for the both sides, while governmental approaches are still too weak to nurture such cooperation.

It has to be said that the challenges to the business world are no less than those in education, as there is a lack of a highly-structured, processed and legally defined pathway for business. It can be seen that even when successful and efficient contributions are made by industry, they are generally individual initiatives that unfortunately cannot guide the rest of the sector in a sustainable way.

The most important concern for any business is survival; however the prerequisite of maintaining a skilled and professionally-developed workforce to achieve this is still barely recognised in the business world. Even if a company is aware of this fact, they generally do not know how to get involved in the education system, meaning that they do not express their needs, nor do they provide support to education in order to create skilled and well-equipped people that exactly suit their requirements.

A joint solution to the challenges of both sides lies in mutual comprehension: education understanding the needs of industry (in terms of skills and expertise), and industry understanding the needs of education (provision of resources for proper education).

What is needed is a structured method of defining these needs, as well as agreement on the contributions and supporting methods of both industry and the education system. Industry should relate their needs in terms of skills; while education should tell industry what they need from industry. Industry can also support education by lobbying the government for appropriate support, where feasible.

More importantly, if this cycle is going to work, an understanding of collaboration should be established between the two parties.

Another point to be taken into consideration is that educational development also calls for the business world to spend money on such approaches, which is a matter that businesses have in general been reluctant to initiate. However it should be highlighted in the strongest way that business will be the first beneficiary of such an approach, as a skilled and developed workforce is the key to growth and sustainability.

In conclusion, it is clear that business and university partnerships can be an important strategy towards creating partnership opportunities for a better business environment.

did you know

In a visit to the United Kingdom organised by British Council Turkey and supported by the Ministry of National Education (MoNE) recently, a 30-strong delegation from Turkey, comprising people from six vocational colleges, six catering companies and MoNE, took part in a workshop in Doncaster College focusing on the catering sector. On the sidelines of the workshop, the visitors had the opportunity to meet their local counterparts; and observe and compare catering practices and education as they are in the UK with their own experiences in Turkey.

The visit was the next step in a programme that was launched during a meeting of the stakeholder groups in Istanbul last December, during which each of the six vocational high schools were grouped with one of the six catering companies, and each group was charged with developing a local project under such themes as ISO certification; hygiene and temperature control standards; and education using custom training materials. The objective of the projects was to come up with a toolkit of best practices that may be used by similar groups in the future when establishing partnerships with their peers, either nationally, or internationally, and in any sector.

While in the UK, the delegates from the Turkish vocational schools were able to see some of the modern ways in which catering is being taught in the United Kingdom; while those from the Turkish catering companies were able to observe practical applications of the fruits of the education system in local catering companies.

Entrepreneurship and Innovation

Extracting New Ideas

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MiKADO

Innovation and Creativity Matters

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Is it possible to reverse climate change? Alleviate poverty? Abolish discrimination or corruption?

All these seem to be utopian visions; but there are people that are in fact developing solutions that have the potential to create such social changes.

Social entrepreneurs are people who create innovative solutions to major social problems. The field of social entrepreneurship has the potential to galvanise major changes across society, and is full of inspiring stories that can encourage people to follow up on their impulses and energies to alleviate problems. The essence of social entrepreneurship comes from a first-hand engagement with the world; from asking lots of questions and making enquiries, to listening and observing with a deep desire to understand.

There are many definitions of social entrepreneurship; but at Mikado we define the term as **making a new case for an old idea**, and take on the role of the risk-taking individual who, against all odds, creates social change.

Most social entrepreneurs encounter challenges and barriers; but are relentless enough not to be discouraged. The main nutrition and motivational source for a social entrepreneur is the social benefit and social impact that can be yielded as a result of his/her endeavours.

The fine lines that exist between creativity and innovation also exist between social innovation and social invention.

Like any invention that is devised to ease daily living in some way, a social invention would be the creation of something that never before existed. The Internet is an example of a social invention, bringing people together in an electronic environment, regardless of geographic location.

Social Innovation is the application of a new idea or a new application of an existing idea that yields lasting social value.

A common misconception of innovation is that it is synonymous with creativity, however creativity is just one component of innovation, as strategy and implementation are also important in the innovation process.

While being prerequisites for the success of a project, creative thinking and innovative ideas alone are not enough to ensure success, as sustainability, scalability and duplicability are necessary as well, and social innovators should equip themselves with relevant know-how accordingly.

An example of a social innovation could be a school that opens its doors to the homeless and needy after hours. The benefits to all involved and the local economy can prove to be boundless – this is an example of the most efficient use of available resources.

Is the Future Brighter?

The Gelecek Daha Net (GDN) project (or The Future is Brighter in English), developed and managed by Mikado Consulting, can be held up as a good example of social innovation, in that it makes the most efficient use of available resources, such as the Internet and online tools, to enable the sharing of experiences and knowledge without the constraints of time or space.

Gelecek Daha Net brings together such tools as e-mentoring, online training and videos of inspiring entrepreneurs in one place, mobilising professionals working in the private sector, academic institutions and NGOs. This collaboration creates a synergy among the various stakeholders, thus contributing to the sustainability of the project.

www.gelecekdaha.net is a unique web portal that can foster a more productive and fulfilling future for young people, or even those looking to jumpstart a brand new career. Lifelong learning, skills development and social responsibility are the three pillars of Gelecek

Daha Net, which is filling an evident void in Turkey.

Gelecek Daha Net addresses two major areas of social neglect: the lack of sources that can provide assistance to young people in making the right career choices; and the lack of engagement by professionals in social responsibility projects.

In partnership with the British Council, an international dimension to the portal is being added in which e-mentors, video speakers and students from around the world can take part in the project and benefit from its services.

This partnership will increase the scale of the project, and its outreach and will at the same time demonstrate the ability of the project to be used as a model for similar programmes elsewhere in the world.

Mikado, the company behind the project is an international socio-economic and cultural development consultancy company, and can be described as a social enterprise. It has three fields of activity: corporate responsibility, civil society consulting and social entrepreneurship project development. All three areas nourish one another, bringing about a higher social impact.

'The financial and economic crisis makes creativity and innovation in general, and social innovation in particular, even more important in fostering sustainable growth, securing jobs and boosting competitiveness,' said European Commission President José Manuel Barroso. Social entrepreneurship is becoming an important trend, and is seen as a transformative force for the betterment of societies, both economically and socially. Finding new and innovative ways of approaching and tackling global problems has become of primary importance.

In these chaotic and troubled times the world needs new and revolutionary approaches, as well as new ways of doing business. The need for innovation is greater than ever in the search for new opportunities and strategies for social transformation and to address

social needs in a more effective way. We desperately need to define ways to tackle multiple economic, social, and environmental challenges. I do believe that all of us – governments, businesses, the academic community and the general public – must support innovations and social entrepreneurs working in the public interest to guide us through these turbulent times.

Social innovators have a direct impact on society through the goods and services delivered by their organisations, but more importantly they play a noteworthy role as catalysts for broader social transformation.

did you know

The British Council has partnered with Mikado Consulting to support Gelecek Daha Net in its aim to connect universities, civil society and the private sector to help young people make right career choices. The website features e-mentors, videos, simulation games and interactive training.

In the virtual chatrooms, students can chat for an hour with an e-mentor from a private sector profession, who can give inside details of his/her profession and point the student in the direction of a great deal of practical information. The website hosts more than 100 e-mentors from the Turkish business world, and some 400 students from Koç University (İstanbul), Anadolu University (Eskişehir) and Dicle University (Diyarbakır.) The British Council will be promoting the e-mentoring programme among its stakeholders and will be participating in the programme with its own employees.

The website also contains a database of videos made by professionals who have achieved their career objectives with excellence, and can set a good example for young people who need career guidance, such as Hakkı Göktaş, winner of British Council's International Young Interactive Entrepreneur Competition; David Halley, Director of International Partnerships at Business in the Community and William Oulton, Director of FTSE Responsible Investment.

GDN
gelecekdaha.net

Fuat
Sami




labX

Creating Opportunities for Growth: Entrepreneurship and Angel Investment

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Turkey's strong economy is bringing with it rapid progress in the country's EU integration efforts, and this progress is opening the doors to many as yet unexplored business service avenues. Business incubation is one such avenue, as Turkey has never before had the financing nor the incubation mechanisms in place to capture the business ideas stemming from its vast 70 million+ population. In order to address this, LabX was launched in the second half of 2006 with the mission of enhancing the underdeveloped entrepreneurship and innovation culture in Turkey by incubating and launching promising business ideas, setting up Turkey's first active Business Angel Network (www.lab-x.org).

Turkey has fallen far behind its peers and European neighbours in terms of entrepreneurship and innovation, a fact that has been highlighted in many respectable research studies. One such study was the European Innovation Scoreboard 2008 – Comparative Analysis of Innovation Performance, published in January 2009 and prepared by the Maastricht Economic and Social Research and Training Centre on Innovation and Technology (UNU-MERIT). The European Innovation Scoreboard tracks and benchmarks the relative innovation performance of the EU member states and selected non-EU countries. Among the 32 countries listed (27 EU members and five non-members), Turkey ranks 32nd, topping a list that includes Bulgaria, Croatia, Hungary, Latvia, Lithuania, Malta, Poland, Romania and Slovakia of 'Catching-up Countries', meaning that their innovation performance is relatively lower than the innovation leaders, which include Denmark, Finland Sweden, Switzerland and the UK. Although Catching-up Countries generally perform below the EU average, Turkey's rate of improvement and growth in innovation is above the EU average. However, according to the same research report, entrepreneurship skills and efforts have had little influence

on Turkey's innovation growth performance at all, and statistics show that there is a major problem in Turkey in its ability to direct resources to innovation and foster entrepreneurship among young and skilled people.

In this entrepreneurship journey of Turkey, LabX's mission has been to positively affect the above scenario by incubating innovative and promising business ideas and launching new initiatives for young people. LabX has positioned itself as an entrepreneurship and investment consultancy company that is fuelled by its own Business Angel Network. LabX's parent company, Helix Management Consultants, is one of the oldest and most qualified management consultancy firms in Turkey (www.helix.com.tr) with over 22 years of experience in the sector. Identifying entrepreneurship as a key development area in which it can apply its vast experience and know-how, Helix, under the direction of Fuat Sami, has decided to launch a business incubation service wing to the company under a separate brand – LabX.

Business Angel Investment is a special investment concept: Business Angels are defined as people who invest in start-up companies that are in their early stages of growth, providing the capital for accelerated growth and development. Moreover, as they are also accepted as entrepreneurs, adding value to the companies they invest in with their continuous consultancy and large contact networks. The success of this model can be seen in many of today's dominating concepts – for example, Facebook, Google, Yahoo, Apple, Youtube, Hotmail and Skype have all come to life with the support of Business Angels.

Existing literature contains much evidence of the vital role played by Business Angels in supplying equity, including in the publications of the DG Enterprise and Industry of the EU Commission. The most visible contribution of business angels can be seen in the United States, where in 2005 $23 billion of 'angel capital' was invested in 49,500 companies (entrepreneurs), creating new jobs for 198,000 people. Filling the gap between family and friend investment networks and venture capital, Business Angel networks are essential components

of the economy, allowing promising ideas to emerge as successful business ventures and creating new business opportunities. It is with this success in mind that LabX has become the pioneer of Business Angel Investment in Turkey.

LabX constantly facilitates access to ideas, Business Angels and know-how – important inputs that may lead to the success of a business. In a short period of time, LabX has gathered together a network of angel investors numbering 75 individuals, with a total potential investment pledge of around $10 million, and has opened its application channels to local and international entrepreneurs.

LabX currently has seven business ideas in its portfolio, all of which have the potential to be unique in the region (or even in the world). Below are just three examples of the broad range of businesses being provided with assistance through LabX:

- SMS Groups (www.sms-groups.com) is the first mobile group text messaging service not only in Turkey, but also in the world, and was LabX's first start up to be financed through the Turkish Business Angel Network.
- Paramarka (www.paramarka.com) is a unique web portal for interactive marketing and advertising, and
- Kobay (www.kobay.com.tr) is Turkey's first licensed private test animal production centre.

All the above have been successfully initiated by LabX and are being offered continuous guidance to ensure their success.

LabX is keen to extend its local and international presence, and hence is open to partnership opportunities with like-minded angel networks, associations or universities around the world that are active in the fields of know-how sharing and financing. To this end, LabX is a member of the international EBAN organisation, and has formed alliances with prominent universities and NGOs in Turkey. In order to promote the entrepreneurship culture, LabX (together with a multi-stakeholder team and sponsor) has launched for the second time Turkey's largest university-wide entrepreneurship competition

birFİKRİNmiVAR? (Do you have an idea?) (www.birfikrinmivar.com). Together with UK Trade and Investment, Cisco Systems, GYİAD (Young Executives and Businessmen's Association) and Özyeğin University, LabX aims to enable students and academicians to bring promising innovative ideas to life. Based on the European Innovation Scoreboard 2008, the UK ranks in the top five countries in terms of innovation, with a performance above the EU average, and for this reason LabX is proud to be joint hosting an entrepreneur competition with UK Trade and Investment. LabX looks forward to developing many similar local and international alliances in order to better assist entrepreneurs.

LabX is seeking to promote the entrepreneurship culture to an ever wider audience, helping in the creation of working examples along the way and relentlessly seeking business ideas with high potential for 100% success.

did you know

The **birFİKRİNmiVAR?** entrepreneurship competition aims to enhance awareness of entrepreneurship and innovation skills among young people by finding, rewarding and even financing new business ideas. It is a unique competition in which the idea of the winning entrant is financed by Business Angels, and a new company is born at the end of each competition. Following the success of the first competition, the formulae has been repeated this year, however it is intended to further increase the number of applications and participating universities by building on the awareness created last year, and make **birFİKRİNmiVAR?** the most important youth innovation and entrepreneurship competition in Turkey.

The first **birFİKRİNmiVAR?** Competition was one of the most exciting and interesting events of the 2007-2008 academic calendar, attracting over 750 students from 25 different universities in Turkey – one of the largest attendance rates for a university-wide competition. The winner was invited by LabX to present their business idea and plan to angel investors, and with a funding of

200,000 TL provided by LabX and angel investors the business dream of the winner was turned into a reality: Turkey's first private test animal production centre, set up under the name of Kobay Deney Hayvanları Laboratuvarı A.Ş. (Kobay DHL A.Ş.) in September 2008, with the winning entrant assuming the position of general manager in the newly-established company. Currently, the Angel Investors and LabX are providing continuous guidance to the company and the idea-owner to facilitate the success of the new venture.

The entrepreneurship competition **birFİKRİNmiVAR?** was launched by LabX, Özyeğin University, GYİAD (Young Executives and Businessmen's Association), Cisco Systems and UK Trade and Investment for the second time in March 2009. The competition runs in two phases. In Phase I, the applicant puts forward their business idea via the online application portal. The applications are assessed, and the semi-finalists are announced and attend a business plan workshop in Phase II, during which executives from the business world lecture and share their experiences with the semi-finalists. After the workshop, each semi-finalist is appointed a business mentor to guide them in developing their business plans over the next two months. After the submission of the business plans, the winners are announced and receive their awards during a ceremony at the British Consulate in Istanbul. The winning entrant will have the privilege to present their business idea to the LabX Business Angel Network, and will receive funding of 200,000 TL. In addition, Özyeğin University will endow 40,000 TL as set-up capital and Cisco Systems will provide infrastructure and product support services. The winner will also have the opportunity to visit the United Kingdom, where they will get to meet their British business counterparts and share their experiences. The involvement of UK Trade and Investment has been very influential throughout the whole process, not just as a successful government agency/private sector collaboration, but also as a initiative that brings the two business cultures together.

birFİKRİNmiVAR?
Üniversitelerarası Girişimcilik Serüveni 2008 / 09

Taclan
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UK
TRADE &
INVESTMENT

Supporting Turkish Investment in the UK

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It has been said that the world has turned into a global village; and as a result of this more and more companies are thinking big. However, if a company is to take maximum benefit from this situation, it must be able to adapt to the associated rapid changes in technology and information flow. One doesn't have to look far to see that there are many companies that have done just that, including a number from Turkey, becoming successful and globally competitive as a result.

Inward investment from Turkey to the United Kingdom has increased significantly over the past two years, but the aim is to attract even more Turkish companies. For this purpose, UK Trade & Investment (UKTI) has set up a dedicated Inward Investment Unit within the Trade and Investment Department of the British Consulate General in Istanbul to attract more top-flight Turkish companies (of which there many) to set up businesses, JVs and R&D facilities in the UK. The Unit provides free, confidential, hands-on advice on how to set up a company in the UK, providing assistance to companies throughout their establishment process, and backing it up with a comprehensive after-care service (i.e. through regular visits to assess a company's needs in the UK). The Unit can also put them in touch with people in government departments, associated businesses and trade organisations.

The establishment of an Inward Investment team is a clear indication of the importance the British Government places in investors from Turkey. Turkey is seen as one of the top nine emerging markets for the UK, and as such is now the subject of concerted efforts to boost investment activities in different sectors. As a result of out work, we can be proud of the number of Turkish companies that are now active in the UK, and that are competing on a global scale. One of our primary aims is to reach people in the decision making process, while also visiting different cities in Turkey on a regular basis to

highlight the benefits of investing in the UK to local businessmen, and to promote the networks of existing investors. In this way, we have established ourselves as the point of contact in the Turkey when it comes to launching UK investments. As an additional service, we have organised social occasions with a view to promoting the creation of synergies amongst investors, which can be particularly helpful for the sharing of experiences, such as problems that have been encountered in the course of doing business in the UK.

The number of enquiries from Turkish companies interested in setting up business in the UK is increasing steadily; and it is good to see that there are now more Turkish companies thinking globally, being fully aware of the benefits of having a physical presence abroad. This helps them to minimise their trade risks by spreading their eggs around different baskets. Turkish companies are more and more taking advantage of the range of free services offered by the British Consulate General, and we are fully confident that this upward trend will continue, further increasing the number of Turkish companies working with success in the UK.

As a result of the increase in bilateral trade and fierce global competition, more and more Turkish companies are looking for a foothold in the EU, and view the UK as the preferred destination, as it:

- Is considered as a springboard for global growth;
- Offers the best environment in which to do businesses;
- Possesses world-class creativity, innovation and R&D capacity;
- Contains networks of global connections that are second to none.

We see Turkish businessmen abroad as our trade ambassadors in their respective countries. Through their successful activities, they not only contribute to the economies of the host countries, but also help promote a good image of Turkey. Most importantly, they help address misconceptions about Turkey, and in doing so, European businessmen can see that doing business with Turkish businessmen is no different to doing business with their European counterparts.

Important Points to Consider when Making an Investment

- It is crucial to learn the rules of the game, and play accordingly. Entrepreneurs should make a thorough research into the market before making an investment decision. The chances of a rude awakening are greatly reduced if business plans and projections are prepared in advance, and consider all the dynamics of the new market.
- Turkish companies need to think big and globally. It is important to remember that all successful businesses started with an idea. No matter what it is, have courage to go and talk to people and make your dream come true.
- Think long term. Companies that invest in new markets seeking immediate returns are usually disappointed. The hatching period differs from market to market, however it is important to be patient. If entrepreneurs think professionally, asses the risks, prepare well projected business plans and let their business develop over time, there is no reason why they should not succeed. Remember, Rome wasn't built in a day.
- Young entrepreneurs should assess the strengths of the host country they are in, and find ways to benefit from those elements. There is no point in reinventing the wheel. The R&D capacity of the UK as an excellent example of this: There are many R&D networks that can help entrepreneurs to upgrade their existing capacity. The UK offers a multicultural business environment, a strong entrepreneurial culture and world class business services. We strongly encourage Turkish entrepreneurs to make the best use of these resources.

did you know

Foreign companies with an interest in investing abroad would be unlikely to find a better environment than the United Kingdom for launching a new business, given its consistent ranking as the top destination in Europe for attracting foreign investment. When considering such a step, there is no better first point of call than UK Trade & Investment (UKTI), which has been tasked with encouraging the cream of foreign companies to invest in the UK, providing a fully-integrated advisory service through a global network of commercial teams worldwide.

UKTI can provide dedicated, professional assistance to lead investors through all the procedures associated with opening a new business, or expanding and existing one, in the UK. Its services include:

- providing bespoke information on key commercial considerations, such as company registration, immigration, financial incentives, labour, real estate, transport, utilities and regulatory issues;
- working in close partnership with investment agencies in England, Scotland, Wales and Northern Ireland to support overseas companies to maximise their business objectives in the UK, and providing comprehensive regional and local location analysis to help overseas companies choose the right place to set up;
- introductions to sector networks, such as industry leaders, chambers of commerce, universities and other centres of R&D excellence;
- helping to build collaborative technology partnerships between UK and foreign businesses through our Global Partnerships Programme;
- assisting overseas entrepreneurs to develop innovative UK business opportunities through our Global Entrepreneurs Programme; and
- continued support through our Investor Development network which offers assistance to companies once they have established a presence in the UK.

While the above will give you a rough idea of how UKTI operates, it may be more beneficial to leave it to a satisfied customer to relate their experience: 'Prior to and during our establishment process in London, the offices of UKTI in both Istanbul and London provided us with prompt and effective start-up advice with great sincerity... we were given ample opportunity to discuss our concerns with the team, and they always took us one step forward in the process.'

'Investment warrants a pro-active and courageous attitude, and so we prudently considered all eventualities. However, it is of great comfort to know that one's business concerns are well understood, and this is the comfort we felt having worked with UKTI. It is for this reason that we consider UKTI a great candidate to enhance our relationship with and hope to cooperate much more actively with them in terms of generating business between the UK and Turkey'.

For further information www.uktradeinvest.gov.uk

Legal Framework

Establishing Confidence


Türkiye
Kurumsal
Yönetim
Derneği
Corporate
Governance
Association
of Turkey

A Universal Corporate Governance System?

Corporate Governance Association of Turkey

'Corporate governance is concerned with holding the balance between economic and social goals and between individual and communal goals... the aim is to align as nearly as possible the interests of individuals, corporations and society.'

Sir Adrian Cadbury
Corporate Governance Overview, 1999
World Bank Report

Having reviewed three resolutely different approaches to corporate governance in the Anglo-American, European and Asia Pacific models, one comes up with the following question:

Is one system more robust than the others, and will this system prevail and become universal?

The answer to this question appeared straightforward in the 1990s. The US economy was ascendant, and the American market-based approach appeared to be the most dynamic and successful. Functional convergence towards the market-based system seemed to be occurring, inexorably driven by forces such as:

- increasingly massive international financial flows which offered deep, liquid capital markets to countries and companies that could meet certain minimum international corporate governance standards;
- the growing influence of the major regional stock exchanges, including the NYSE and NASDAQ, the London Stock Exchange and Euronext – where the largest corporations in the world were listed regardless of their home country; developing the activity of ever-expanding Anglo-American-based institutional investors, advancing policies to balance their portfolios with increasing international investments if risk could be mitigated;

- expanding revenues and market capitalisation of multinational enterprises, (often Anglo-American corporations, invariably listed on the NYSE, even if European based), combined with a sustained wave of international mergers and acquisitions from which global companies were emerging; and
- accelerating a convergence towards international accounting standards; and a worldwide governance movement towards more independent auditing standards and rigorous corporate governance practices.

Firms expanding into global markets often prefer to use stock, rather than cash, as acquisition currency. If they want American investors to buy and hold that stock, they are pressed to adopt corporate governance measures that those investors feel comfortable with. Despite a continuing bias in favour of home-country investments, the internationalisation of capital markets has led to more cross-border investing. New stockholders enter, but are not always part of any local corporate governance consensus, preferring a corporate governance regime they understand, and often believing that reform will increase the value of their stock. Similarly, even local investors may make demands that upset a prior local consensus. The internationalisation of capital markets means that investment flows may move against firms that are perceived as having suboptimal governance, and thus are to the disadvantage of the countries in which those firms are based.

The Premium for Corporate Governance

In this vein, a series of surveys of international investor opinions conducted by McKinsey (including a survey of South America undertaken in cooperation with the World Bank), inquiring what premium investors were prepared to pay for the shares of well-governed companies, proved to be highly influential. In the three surveys, conducted in 1999–2000 and covering Asia, Europe, the United States and South America, discovered that three-quarters of investors felt that board practices were at least as important as investment performance when evaluating companies for investment.

Over 80 per cent of investors say that they would pay more for the shares of a well-governed company than for those of a poorly governed one with a comparable financial performance (A well-governed company was defined as one that has a majority of outside directors with no management ties on its board; undertakes a formal evaluation of its directors; and is responsive to requests from investors for information on governance issues). Directors should also hold significant shareholdings in the company, and a large part of their pay should come in the form of stock options.

Globalisation of Regulation

The OECD has been at the forefront of policy analyses and the promotion of the expansion of world trade, foreign direct investment, global capital markets and the globalisation of economies. Leading the way in forging an international acceptance of international corporate governance principles, the OECD has been supported by the World Bank, the Asian Development Bank, the UN and other international agencies, who have promoted a series of regional forums attended by government representatives, regulators, corporate executives and professionals to develop and disseminate best practices. These forums are also committed to institutional building and company director development. The work of the OECD on corporate governance was a natural extension of the interest in the productivity of corporations and economies, and the efficiency and expansion of international markets.

Whether the OECD was able to live up to the ideals of pluralism and adaptability in the development of subsequent policy recommendations on corporate governance; and whether market forces were as tolerant and understanding of flexibility and differences in approaches to corporate governance are questions that are worth exploring.

On the whole, all of these reports remain close to the OECD belief in the importance of corporate governance reform in attracting global capital at lower rates, and creating better companies as a result; however it was the World Bank (2000) report that broke new

ground in indicating why accountability and integrity in corporate governance had an important role to play in assisting the economic development of poor countries, where domestic investors needed to be protected.

Convergence of Corporate Governance

Despite very real differences in the corporate systems, the deeper tendency is towards convergence, as has been the case since the 19th century. The core legal features of the corporate form were already well established in advanced jurisdictions 100 years ago at the turn of the 20th century. Although there remained considerable room for variation in governance practices and in the fine structure of corporate law throughout the 20th century, pressure for further convergence is now rapidly growing. Chief among these pressures is the recent dominance of a shareholder-centred ideology of corporate law among business, governmental and legal entities in key commercial jurisdictions. There no longer exists a serious challenge to the view that corporate law should principally strive to increase long-term shareholder value. This emergent consensus has already affected profoundly corporate governance practices throughout the world; and it is only a matter of time before its influence is felt in the reform of corporate law as well.

What remains is the question of how well the governance system can solve agency problems; how well the system facilitates large scale coordination problems; how well the systems encourage long-term innovation; and how they impose different levels of risk on the participants.

Arguably, each of these values is of great importance, and the precise balance between them is part of the choice of what kind of corporate governance system is adopted. Yet there appears to be increasingly less opportunities to exercise this choice.

Future Trends

Contemplating the future of corporate governance systems is a hazardous business. Each of the systems is under pressure to

change. The long-term stakeholder orientation of the German and Japanese governance systems is under constant pressure to deliver shareholder value, particularly from overseas investment institutions. However, the market-oriented short-term trend of the Anglo-American approach is itself being challenged by international, national and community agencies to recognise wider social and environmental responsibilities. The German and Japanese systems are faced with demands for increased transparency and disclosure from both regulators and investors, while Anglo-American corporations are faced with repeated calls for greater accountability from institutional investors and other stakeholder communities.

As pressures to conform to international standards and expectations increase, the resilience of historical and cultural differences will continue. The business case for diversity is, if anything, even more compelling, as there will be a continuous need to innovate around new technologies, processes and markets. This will stimulate new organisational and corporate forms, the shape and objectives of which are hard to predetermine. However, an enduring lesson from the recent experience of corporate governance failure is that it is in the interests of firms, investors and economies, wherever they are based in the world, and whatever system they adopt, to commit to strive for the highest standards of governance.

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About Us

Founded in year 2003, Corporate Governance Association of Turkey (TKYD) is a non-profit organization aiming to develop and encourage adherence to corporate governance standards and guidelines, disseminating corporate governance culture that shall reflect upon best practices in Turkey.

Corporate members and over 500 directors and top level executives meet in TKYD to discuss and shape the future of governance in Turkey.

The British Council and the Foreign and Commonwealth Office (FCO) have added their support to the TKYD by providing speakers from the UK to address two International Corporate Governance Conferences, organised in January 2008 and January 2009. In addition, a round table discussion has been organised between members of the TKYD and the Lord Mayor of London to create a better understanding and to foster cooperation between the UK and Turkey in the development of corporate governance and financial regulations.

Roger
Barker





Observations on the Current Crisis from a Corporate Governance Perspective

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In recent years, highly-leveraged and opaque business models have been pursued by banks and other financial institutions around the world, which in retrospect can be seen to have been inadequately scrutinised and challenged by the shareholders, independent directors and regulators. The implosion of these strategies in the recent turmoil has necessitated unprecedented state intervention to ensure the continued survival of the global financial system; and not surprisingly, this is giving rise to significant questions about the credibility of the UK corporate governance framework.

However, in responding to the crisis, it is important to place the culpability of the UK corporate governance framework in perspective. Although boards and shareholders must accept their share of the blame, a more fundamental cause of the financial crisis was a build-up of macroeconomic imbalances at a global level, e.g. between developing economies (particularly China) and the West, which facilitated an excessive expansion (and subsequent inevitable contraction) of credit in countries such as the United States and the United Kingdom.

Another key failure was the lack of a viable framework of globally-coordinated financial regulations. The prudential regulation of capital adequacy of banks – both through national regulators (e.g. the Financial Services Authority [FSA] and the Bank of England) and the Basel framework – was ineffective, pro-cyclical and did not encompass many of the key institutions in the so-called 'shadow' banking sector.

There were also gaps and deficiencies in the prevailing financial architecture. For example, the increased use of securitisation by banks – partly as a means of circumventing regulatory capital requirements – led to an inappropriate reliance on the flawed risk

assessments of credit rating agencies. A second problem emerged in the credit derivatives market, where the lack of a central clearing house created opaqueness and uncertainty between credit market participants, particularly in the wake of the collapse of Lehman Brothers.

In seeking a way out of the crisis, it is appropriate that governments are targeting their immediate response towards fiscal and monetary measures that are designed to reduce the severity of the downturn. In the longer term, it will also be necessary to make fundamental changes to the financial regulatory framework. However, it is important that the regulatory reform process be undertaken on a globally-coordinated basis; otherwise any changes will work to the detriment of the national competitiveness of the United Kingdom, and will encourage regulatory arbitrage in favour of less stringent national regimes; which would be ineffective and counter-productive.

Furthermore, better regulation should emerge as the outcome of a thorough analysis and consultation. In contrast to the required policy response in other areas, e.g. relating to the supply of credit to small- and medium-sized enterprises – where speed is of the essence – the financial regulatory reform process does not need to be hurried. Although policy makers are under short-term pressure to do something, banks are no longer in a position to repeat the mistakes of recent years. That horse has already bolted.

Consequently, there is no short-term economic imperative to rush through half-baked reforms like the 2002 Sarbanes-Oxley Act in the United States, which was a costly response to the Enron corporate governance crisis. Any new policy framework should be designed with the long term in mind, and this is best achieved after a sufficient period of reflection.

However, although policy makers should approach regulatory changes with caution (first, do no harm), it is appropriate for the boards of companies to consider their individual responses to the crisis. The misfortunes of the banking sector have provided

important corporate governance lessons for directors. As the downturn gathers pace, a proportionate governance response from boards will be beneficial, both to ensure survival and successful repositioning at an operational level, and to sustain the confidence of shareholders, creditors and other stakeholders.

With this in mind, there are three areas of corporate governance which are worthy of particular attention at the current time.

i) Boardroom composition and director competency

The current crisis has revealed that many banking non-executives lacked the expert knowledge to effectively challenge their executive colleagues. Furthermore, the mere presence of independent directors on the board did not prove to be a sufficient governance safeguard – prior to the crisis, the boards of UK and European banks contained proportionately higher numbers of independent directors than boards in other sectors.

It is clear that unless accompanied by specialist knowledge and training, the technical independence of directors will not necessarily translate into the critical and independent thinking that may uncover fault lines in complex business strategies. The convening of a distinguished panel of men and women will be ineffectual if those directors do not also possess the expertise to understand the fundamentals of the company's business and the attendant risks.

Consequently, as well as reviewing staffing at lower levels of the company hierarchy, chairs and nomination committees should take a long hard look at the composition of their boards. In hard times, it is particularly important to ensure that the board is composed of an optimal mix of experienced and knowledgeable people that reflects the challenges and risks facing the company. Some grey haired directors – with experience of previous downturns – may be a particular asset to the boardroom in this stage of the cycle. The board should also use its own internal evaluation process as a mechanism for periodically refreshing itself.

ii) Risk management

The experience of the banks during the crisis has emphasised the importance of risk management as a board-level responsibility. This is a lesson that should be absorbed by the boards of companies in all sectors of the economy.

Risk is at the heart of entrepreneurial activity, and risks are inherent in any business strategy. However, the board has a vital role to play in terms of:

(i) evaluating the risks associated with corporate strategies,

(ii) defining the risk appetite of the company, and

(iii) ensuring that appropriate resources are devoted to risk identification, avoidance and mitigation.

The failure to properly evaluate and challenge the risk of overall business strategies was probably the biggest 'intellectual failure' (to use the words of Lord Turner, Chairman of the FSA) of boards, regulators and shareholders in the current crisis.

Given the link between business strategy and risk, risk oversight is not a board responsibility that can be easily delegated to a board committee. While it is reasonable for the audit committee to focus on risks relating to financial disclosures, the entire board needs to be engaged in substantive discussions of the overall strategic risks associated with the business.

Authority and communication lines are also vital for ensuring that the board becomes aware of significant risks on a timely basis. For example, the head of an internal audit should have a joint reporting line to both the board (through the audit committee) and to the CEO. A sole reporting line to the CEO creates an inappropriate conflict of interest, and significantly reduces the credibility of an internal audit as a boardroom tool of risk oversight.

Furthermore, in a financial institution, best practice should dictate that the chief risk officer be a main board member. Without board representation, risk management may be perceived as subservient to

the operational interests of revenue-generating business units. The shareholder report published by UBS in April 2008 reinforced the perception amongst outsiders of the low status of risk management personnel in major banks.

The key principle for the board is to ensure that risk management is not relegated to a specialist department or individual. This requires setting aside time on the board agenda for risk management discussions. The Turnbull guidance – which was updated by the Financial Reporting Council (FRC) in 2005 – provides a set of best practice principles to assist boards in fulfilling their internal control responsibilities, and to help them comply with the relevant sections of the Combined Code. It is important that all boards – not only those of financial institutions – familiarise themselves with these guidelines.

iii) Remuneration

The role played by executive remuneration in causing the current crisis has been exaggerated in many quarters. Although there have been examples of poor practice in investment banks – particularly in relation to traders, brokers and bankers at sub-board levels – directors and CEOs at major banks in both the United States and the United Kingdom held substantial shares in their institutions. Their incentive structures were well-aligned with those of the owners, and cannot therefore be viewed as the main driver of (in retrospect) flawed business strategies.

Nonetheless, a key governance principle emphasised by the current crisis is that employees should not be rewarded for taking inappropriate risks. The remuneration committee – and the board as a whole – should ensure that compensation structures reward long-term performance and, where relevant, incorporate the possibility of claw-backs.

The structure of compensation packages is likely to vary from company to company – there is no magic formula. However, it is important that boards define the explicit rationale for their

compensation arrangements; and they should also take account of the way in which such compensation awards will be viewed by the outside world. In the current highly-charged political environment, compensation transparency is an important aspect of retaining legitimacy in the eyes of stakeholders, regulators and the wider public.

Selçuk
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The British - Turkish
Lawyers Association

Creating Trust for a Better Business Environment: Alternative Dispute Resolution

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Alternative Dispute Resolution (ADR) is a concept that is widely used in the global commercial world, having developed in line with the increase in multinational business agreements and international investment projects as a practical way to resolve disputes between parties. When choosing ADR, parties know that a solution to their disputes may be found quickly, without having to deal with national courts that may favour the local party.

The traditional fundamentals of private dispute resolution mechanisms are enforceability, neutrality, confidentiality, cost effectiveness and speed. To these has been added the principle of flexibility, with the following options also commonly applied to many contractual disputes:

- early neutral evaluation,
- dispute review boards,
- expert determination,
- mediation,
- adjudication,
- arbitration,
- litigation, or
- any combination of the above.

ADR is a collection of processes used in the informal resolution of conflicts or disputes, which aside from avoiding the judicial process has the following advantages:

- Speed
- Resolving of dispute within a single procedure
- Increased control over the process and outcome
- Potentially preserving good relationships between parties,

since good communication is a priority in ADR proceedings

- Potential to result in satisfaction of all parties by helping to find win-win solutions, allowing each party to achieve their real commercial goals.
- Confidentiality, since ADR proceedings are private

Of the various types of ADR techniques, mediation and arbitration are the most common.

Mediation

In mediation, an impartial person, known as a mediator, helps the parties try to reach a mutually-acceptable resolution of the dispute. The mediator does not decide what is fair or right, but rather helps the parties communicate so they can try to settle the dispute themselves. The mediator acts as a catalyst between opposing interests, attempting to bring parties together while moderating and guiding the process to avoid confrontation and bad faith. In summary, mediation leaves the decision making strictly to the parties.

Mediation is a preferable option when the parties have an ongoing business relationship, or when they strongly feel that they can reach a mutual agreement.

In the event that parties cannot reach a solution at the end of the mediation process, they can then choose to take the matter to the courts or arbitration, as mediation does not harm the parties' right to resolve the dispute in other ways.

Arbitration

Arbitration is a system of dispute resolution which has developed over many years, by which parties can agree to have their disputes resolved with the involvement of a third party that acts in the place of a State-appointed judge.

Arbitration requires the parties to agree to enter into a contract which will oblige them to refer certain types of disputes to arbitration, and which excludes the parties' rights to have those disputes determined

by the courts. This contract, known as an Arbitration Agreement, can be included in the commercial contract of the parties, or can be a separate document.

Arbitration, as a means of dispute resolution, is used widely throughout the world. In order to assist in the resolution of international disputes by arbitration, a number of institutions have devised rules of arbitration which can be incorporated into arbitration agreements made between parties.

Although any party can enter into an arbitration agreement (providing it has the legal capacity to do so), there are also some particular industries – such as the construction sector – which frequently uses arbitration to resolve disputes rather than taking their disputes to the courts.

There is much evidence that arbitration is today the first choice for the binding resolution of many commercial disputes over the widest range of contractual relationships, and across many jurisdictions. Litigation is seen, in many jurisdictions, as too expensive, time-consuming and contentious.

On 21 June 2001, the Turkish Parliament enacted the Turkish International Arbitration Law No. 4686 as one of its commitments to the International Monetary Fund and the World Bank.

The text of Law No. 4686 and its reasoning gives the clear impression that it is based upon the United Nations Commission on International Trade Law (UNCITRAL) Model Law.

Şengüler & Şengüler – ADR Involvement

The law firm of Şengüler & Şengüler continues to be active in the ADR sector. Jonathan W. Blythe is an associate of the Chartered Institute of Arbitrators (ACIArb), and has recently acted as the sole arbitrator in a dispute under the ICC rules of arbitration. We have regularly advised clients on arbitration issues, in particular in respect to the choice of dispute mechanisms when drafting joint ventures and other investment agreements.

We are founding members of the British Turkish Lawyers Association (BTLA), and through this organisation we have had the opportunity to organise four separate seminars on the subject of ADR, two in Istanbul and two in Ankara, in cooperation with the Law Society of England and Wales and UK Trade and Investment.

We see these events as essential for the promotion of ADR as a valid alternative for dispute resolution in the commercial sector in Turkey, and as an opportunity for Turkish lawyers to develop understanding and receive training in ADR matters.

We are planning to continue our involvement in the development of seminars and conferences on the subject of ADR, and look forward to further cooperation with interested UK entities.

Şengüler & Şengüler is currently chaired by partner Selçuk Şengüler, and is conveniently located in the centre of Istanbul. The company offers high quality legal services, drawing upon our unique blend of local, regional and international experience, and is focused on answering the needs of local companies and foreign investors; while also assisting new investors who are looking to set up businesses both in Turkey and in the neighbouring emerging markets.

Our approach is pragmatic and business orientated, and one of our key aims is to provide long-term solutions to clients in a sometimes challenging legal environment.

To meet the needs of clients with respect to British and European Law, Şengüler & Şengüler has developed extensive relations with many excellent European, UK and US Law firms.

did you know

Alternative Dispute Resolution (ADR) Seminar

In association with the British Turkish Lawyers Association (BTLA) and the Law Society of England & Wales (LSEW) UK Trade and Investment and FCO has organised a three-day seminar on 17–19 March 2008 on the subject of Alternative Dispute Resolution (ADR). The event was aimed at promoting UK legal services and UK expertise in ADR, and to strengthening ties between British and Turkish professionals and business people; and attendees included lawyers from law firms, holdings and governmental institutions. The first day of the event opened with a round table breakfast meeting for 20 senior in-house lawyers and CEOs of major holdings in Turkey. Over the following two-day seminar, discussions into mediation and arbitration were held attracting some 50 lawyers from private Turkish law firms. Aside from a presentation by one Turkish academician, the other speakers were all experts from the UK. The seminar closed with a networking event to allow one-to-one discussions between the Turkish and UK participants.

A second Alternative Dispute Resolution (ADR) Seminar was held in Ankara in parallel to the visit of the Lord Mayor of London to Turkey in March 2009, and was organised in collaboration with British Turkish Lawyers Association and the Law Society of England and Wales. This event was again aimed at drawing the attention of private law firms and in-house lawyers from government institutions to the concepts of arbitration and mediation, and the UK's considerable experience and expertise in these fields. The speakers from the UK were arranged by the Law Society of England and Wales, featuring on a programme that also included some noted Turkish academicians. The event followed the successful formula that had been tried and tested at the Istanbul event in 2008.

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